LUXEMBOURG GREEN EXCHANGE
by Luxembourg Stock Exchange

Empowering change: The rise and role of gender-focused bonds

In partnership with 2X GLOBAL

SEPTEMBER 2025

Introduction

This study, published jointly by the experts at the Luxembourg Stock Exchange (LuxSE)'s leading platform for sustainable finance, the Luxembourg Green Exchange (LGX) and the 2X Global Certification Body (2X Global), provides a comprehensive overview of gender-focused bonds globally. It aims to raise awareness and catalyse the growth of this emerging area of the sustainable bond market. The collaboration reflects LuxSE's unique position in the sustainable bond landscape and 2X Global's mandate to drive measurable change and mobilise capital flows towards women.

Purpose

» This study aims to **spotlight the gender-focused bond market, share best practices, and drive uptake**—through data, analysis, and practical guidance for market actors. Specifically, it seeks to:

- **Illuminate the gender-focused bond market** by demonstrating how these instruments better link gender equality and finance.
- **Highlight best practices** and offer recommendations for issuers and stakeholders to strengthen credibility and impact.
- **Inspire market participation and scale** by encouraging the broader adoption of gender-smart finance tools.

Scope

» The scope of this study covers the full universe of gender-focused bonds listed worldwide as of 1 June 2025, comprising of 576 issuances as identified in the LGX DataHub. The LGX DataHub has provided global data on the world's listed sustainable bonds based on issuers' public disclosures since 2020.

Introduction

Context

- The **collaboration between LuxSE and 2X Global** brings together two **leaders in sustainable finance and gender-smart investing**. Combining LuxSE's sustainable bond data expertise, through LGX, and market reach with 2X Global's mandate to drive measurable gender impact, this partnership aims to elevate transparency, credibility and momentum in the gender-focused bond space. A particular focus of this collaboration is advancing the certification of gender-focused bonds, grounded in the 2X Global Certification framework, and developing a robust methodology to bring greater clarity and confidence to this emerging market segment.

- In May 2022, LuxSE and UN Women signed a Memorandum of Understanding (MoU) that set out an agenda of joint work to advance sustainable debt for gender equality and women's empowerment, and to promote gender-lens investing.

- In 2023, LuxSE published a market study providing a detailed analysis of bonds with a gender component listed worldwide, which it is updating with this new study. In parallel, UN Women and LuxSE have published a complementary series of case studies.

- The overarching goal of this work is to mobilise capital flows to meaningfully contribute to the United Nations Sustainable Development Goal (UN SDG) 5, to achieve gender equality and empower all women and girls.

- 2X Global, in turn, is a global leader in gender-lens investing and has set widely adopted standards through its 2X Criteria. Building on this foundation, 2X Global launched the **2X Certification with the support of LuxSE** – the first independent certification mechanism for gender-smart investment practices across funds and companies. This standard-setting work helps bring credibility, consistency, and measurable accountability to the field.

Executive summary (1/2)

01 Sustainable Bond Market Snapshot

The sustainable bond market has matured into a credible asset class, supported by the International Capital Market Association (ICMA)'s principles and guidelines for use-of-proceeds (project-linked) bonds and performance-linked bonds.

- The sustainable bond market has rapidly expanded since 2007, evolving from green bonds to include social, sustainability and sustainability-linked bonds (SLBs) to meet diverse sustainable funding needs and objectives.
- ICMA has been instrumental in setting global standards, boosting the market's credibility and accelerating mainstream adoption.
- Green, social and sustainability (GSS) bonds fund specific green and/or social projects, while SLBs tie structural and/or financial outcomes to sustainability performance — marking a key structural distinction.

02 Emergence of Gender-Focused Bonds

Gender-focused bonds are an emerging instrument channelling capital to gender equality and women's empowerment — with growing market traction, but still significant untapped potential.

- Gender-focused bonds — primarily issued as social or sustainability bonds (81%), with the remainder split between green bonds and SLBs — channel (part of their) funding toward projects that promote gender equality and women's empowerment or are linked to gender-related performance goals.
- Gender-focused GSS bonds typically fund women-led businesses, essential services, support female entrepreneurship and gender inclusion, while SLBs often target internal representation of women in enterprises.
- Although not a standalone category under ICMA, gender-focused bonds fit into its Social Bond Principles (SBP) and its guidance co-issued by UN Women and the International Finance Corporation (IFC) in 2021.
- While no single standard exists for gender-focused bonds, best practices emphasising clear gender intentionality, explicitly defined target groups, robust reporting and ambitious targets are emerging to help propel this segment's development.
- Market interest is steadily growing, with 576 issuances by 133 issuers mobilising over USD 246 billion as of 1 June 2025 — yet significant room remains to scale this gender-smart financing tool.

Executive summary (2/2)

03 Operationalisation and Momentum

Gender-focused bonds are gaining momentum, led by corporates and mature markets, but unlocking their full potential will require better data, broader adoption, and deeper gender integration.

- Gender-focused bond activity mirrors broader sustainable finance trends, with Europe and Asia leading — pointing to clear momentum in mature markets and the opportunity to expand uptake in emerging markets.
- Corporates dominate gender-focused SLB issuances, while supranational, (quasi-)sovereign and agencies (SSAs) lead in use-of-proceeds gender-focused bonds — highlighting the private sector's stronger uptake of performance-linked gender commitments.
- While most gender-focused SLBs target women's representation in leadership, a growing number link capital flows and structural levers — like procurement and public quotas — to broader gender equity outcomes.
- With only 11% of gender-focused bonds and 7% of projects reporting sex-disaggregated metrics, the lack of gender-specific data dilutes accountability and reduces the credibility of gender impact claims.

04 Opportunity

With rising market appetite, gender-focused bonds are beginning to move towards systemic impact — strengthened certification and reporting will be key to unlocking their full potential as a cornerstone of inclusive finance.

- Issuers are beginning to expand beyond internal gender targets, using capital allocation and procurement strategies to drive systemic gender equity, for instance.
- With rising market appetite, gender-focused bonds are well-positioned to become a catalyst for transformative impact for women and girls, with the potential to benefit economies and boost growth.
- Establishing stronger certification and reporting standards — including sex-disaggregated metrics — will enhance transparency, credibility, and investor confidence in gender-focused bonds.

1 The landscape of gender-focused bonds

Preliminary notes: Overview of the sustainable bond market

What are sustainable bonds?

- Since the first green bond was issued by the European Investment Bank (EIB) in 2007, the sustainable bond market has rapidly evolved to address crucial funding needs — expanding to include social and sustainability bonds, as well as SLBs.
- The sustainable bond market, notably led by **ICMA**, has been quick to establish standards and formalise them through principles and guidance, enhancing the credibility and, consequently, the adoption of these financial instruments.
- As per ICMA principles:
  - Green, social and sustainability (GSS) bonds, also known as use-of-proceeds bonds, exclusively finance or refinance existing and/or new projects with dedicated environmental and/or social benefits.
  - Unlike use-of-proceeds bonds, the proceeds of SLBs are not earmarked for specific projects. Instead, the issuer commits to meeting sustainability targets and the financial and/or structural characteristics of the bond vary depending on whether the issuer achieves its targets.

Use-of-proceeds (UoP)	**Green bond:** Bond where the proceeds or an equivalent amount are exclusively used to finance or re-finance new and/or existing eligible green projects. **Social bond:** Bond where the proceeds, or an equivalent amount, are exclusively used to finance or re-finance new and/or existing eligible social projects. **Sustainability bond:** Bond where the proceeds, or an equivalent amount, are exclusively used to finance or re-finance a combination of both green and social projects.
General purpose	**Sustainability-linked bond (SLB):** Bond for which the financial and/or structural characteristics vary depending on whether the issuer achieves predefined sustainability objectives.

UN SDG 5: A call to action to achieve gender equality

In 2015, the United Nations adopted 17 Sustainable Development Goals (UN SDGs) as a universal call to action to create a more sustainable and inclusive world for all

- The ambition of the UN SDGs is to end poverty, protect the planet, and ensure that by 2030 all people enjoy peace and prosperity.

- UN SDG 5 aims to ***"achieve gender equality and empower all women and girls."*** It calls for the participation of women and equal opportunities for leadership at all levels of political and economic decision-making.

Targets to be achieved by 2030:

5.1 End all forms of discrimination against all women and girls everywhere.

5.2 Eliminate all forms of violence against all women and girls.

5.3 Eliminate all harmful practices, such as child, early and forced marriage and female genital mutilation.

5.4 Recognise and value unpaid care and domestic work.

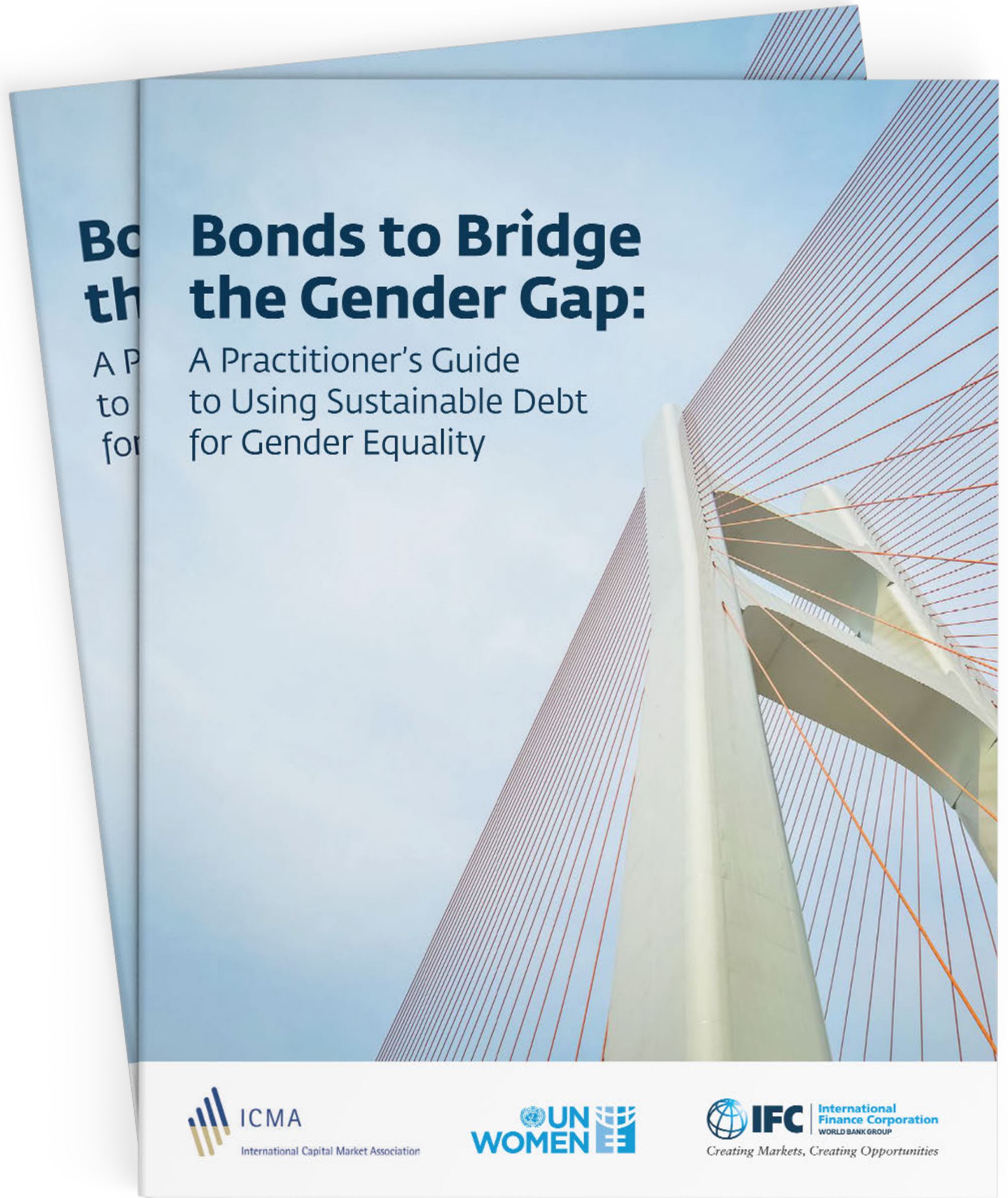
5.5 Ensure women's participation and equal opportunities for leadership at all levels of decision making in political, economic and public life.

5.6 Ensure universal access to sexual and reproductive health and reproductive rights.

Source: *United Nations, 2020*

Bonds to Bridge the Gender Gap

In 2021, ICMA, together with UN Women and IFC published 'A Practitioner’s Guide to Using Sustainable Debt for Gender Equality'



Source: ICMA, UN Women, IFC, 2021

ICMA Social Bond Principles

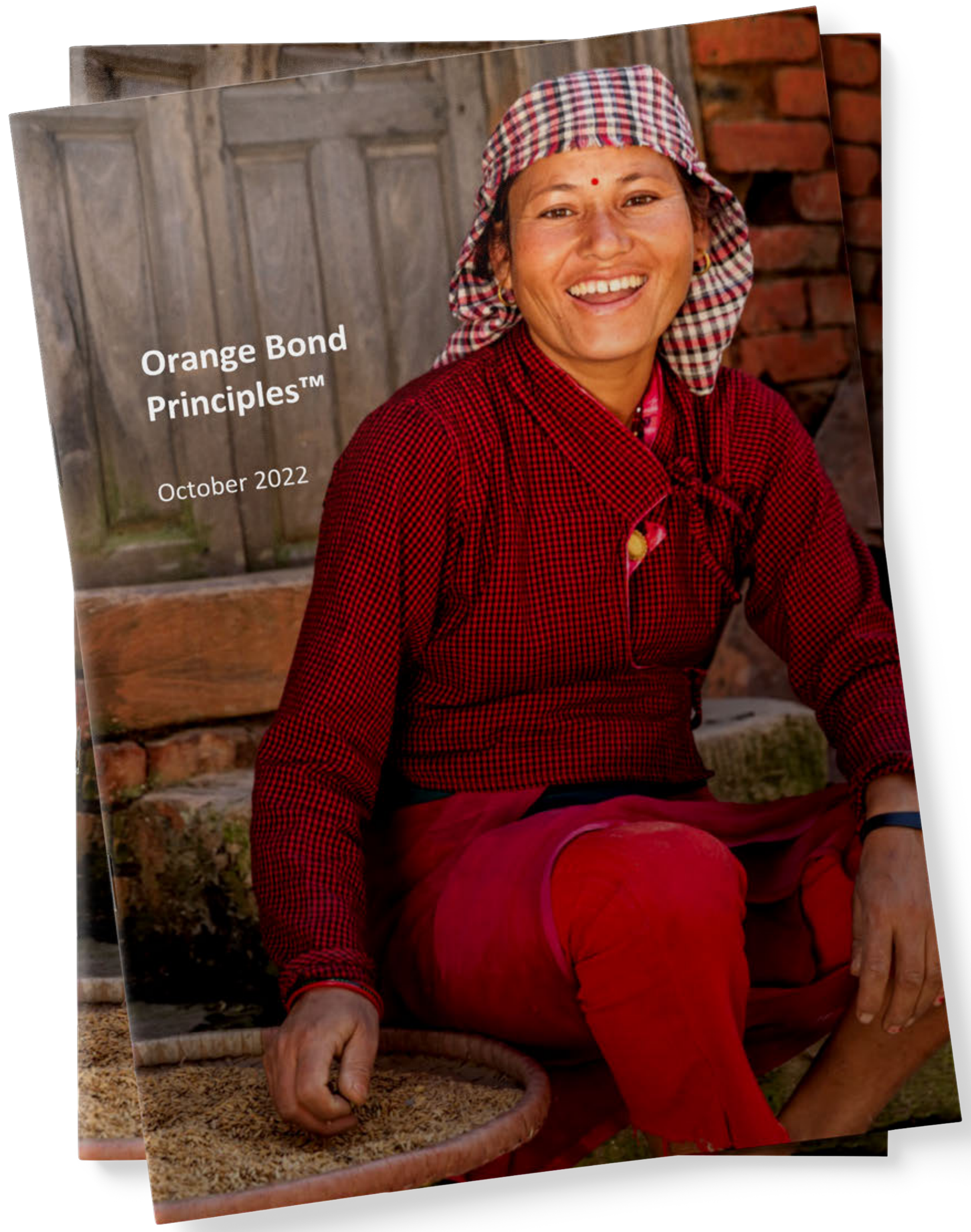
- The Social Bond Principles (SBP) published by ICMA provide a framework for bonds integrating a gender lens, as they encompass bonds that finance projects with positive social outcomes. The ICMA principles and guidelines do not identify gender-focused bonds as a distinct category.
- In 2020, the SBPs were updated to notably **include "women and gender/ sexual minorities" among cited examples of target populations** for social project categories.

Bonds to Bridge the Gender Gap

- In 2021, ICMA, UN Women and IFC co-authored a guide based on existing ICMA principles. The guide aims to give **practical guidance on how to use sustainable bonds to credibly access financing that advances gender equality and women's empowerment**.
- **The publication** provides illustrative examples of gender-related use of proceeds, as well as key performance indicators (KPIs) and sustainability performance targets (SPTs) in the case of SLBs.

Orange Bond Initiative™

In 2022, IIX launched the Orange Bond Initiative™, a cross-cutting asset class for investing in gender equity



Source: The Orange Movement™

Orange Bonds

- The Orange Bond Initiative™ was launched in October 2022 by IIX to expand the market for gender-lens investing in debt instruments.
- Building on earlier efforts such as the Women's Livelihood Bond series, IIX has introduced the Orange Bond label as a way to channel capital toward women-focused enterprises across Asia and Africa. Its first labelled issuance, the Women's Livelihood Bond 5 in March 2023, raised capital for enterprises with a focus on women's livelihoods.
- Through this initiative, IIX aims to signal greater attention to gender-lens bonds in the market and to encourage broader participation by investors and financial institutions, particularly in emerging markets.

Innovations in financing gender equality via sustainable bonds

- In a market study published in May 2023, LuxSE provided a detailed analysis of bonds with a gender component listed worldwide and offered suggestions on how issuers can contribute to scaling up gender finance.

Download the study

- In parallel, UN Women and LuxSE published a complementary case study series. These carefully selected case studies provided readers with detailed examples of how issuers are currently leveraging the sustainable bond sphere to bridge the gap between finance and the advancement of UN SDG 5.

Download the study

Gender bonds: A toolkit for the design and issuance of gender bonds in Africa

A guide for advancing gender equality and climate action in African capital markets

- In 2024, Financial Sector Deepening (FSD) Africa, the FSD Network Gender Collaborative Programme, British International Investment (BII) and UN Women jointly published **'Gender bonds: A toolkit for the design and issuance of gender bonds in Africa'**.
- The toolkit aims to **deepen the understanding of gender-focused bonds** and their potential to mobilise capital for gender equality and women's empowerment initiatives within African capital markets. It compiles global **best practices, provides step-by-step guidance on designing gender-focused bonds, suggests metrics and how to align with standards**.
- The aim is to build a pipeline of **gender-focused bond transactions in Africa**, where the issuances of such bonds have been scarce. It also explicitly links gender-focused bonds to climate action, recognising that in continents like Africa, women's empowerment and resilience to climate change often go hand in hand.

Source: BII, FSD, UN Women 2024

2 What makes a bond 'gender-focused'?

Definition of gender-focused bonds

To be able to identify and flag sustainable debt instruments that allocate all or part of their financing towards the advancement of gender equality and women's empowerment, LuxSE's sustainable finance team at LGX developed a methodology that was inspired by ICMA, UN Women and IFC's guidelines

Use-of-proceeds bonds

All eligible categories relate to UN SDG 5

A social or sustainability bond **with 100% of its proceeds** allocated to projects that advance gender equality objectives (UN SDG 5), as stated in the **pre-issuance documentation**

At least one effective category relates to UN SDG 5

A use-of -proceed bond **with partial proceeds** allocated to projects that advance gender equality objectives (UN SDG 5), as stated in the **post-issuance report**[1]

Sustainability-linked bonds

At least one target relates to UN SDG 5

An **SLB** with at least **one target** related to reaching pre-defined gender equality or women's empowerment objectives

[1] *As a result, there is a delay between a bond's issuance and its identification as gender-focused, since this classification relies on the post-issuance report, typically published around a year after issuance. LuxSE has adopted this approach because, while pre-issuance documentation may list various eligible project categories — including some gender-related ones — it does not guarantee that these will actually be financed. Issuers may choose to fund only a subset of the initially proposed categories. A bond can be considered "gender-focused" at the pre-issuance stage only if all eligible categories are aligned with UN SDG 5.*

Best practices for gender-focused bonds

There is no unique, standardised criteria for what constitutes a gender-focused bond but best practices can be identified based on existing publications and guidelines

Clear intentionality on gender advancements

- Commit to allocate proceeds to projects that benefit women and girls, outline the gender-related objectives and explain how the bond issuance will contribute to these projects and/or objectives.

Targeted beneficiaries and outcomes

- Explicitly define and prioritise gender-specific target groups and outcomes.

Enhanced disclosure and reporting on gender

- Provide granular reporting on gender-related progress and proceeds allocated to women and girls.

Use of measurable gender metrics

- Commit and subsequently disclose measurable metrics specific to women and girls, ensuring transparency and accountability.

Allocate a significant share of proceeds to women-focused projects (use-of-proceeds bonds)

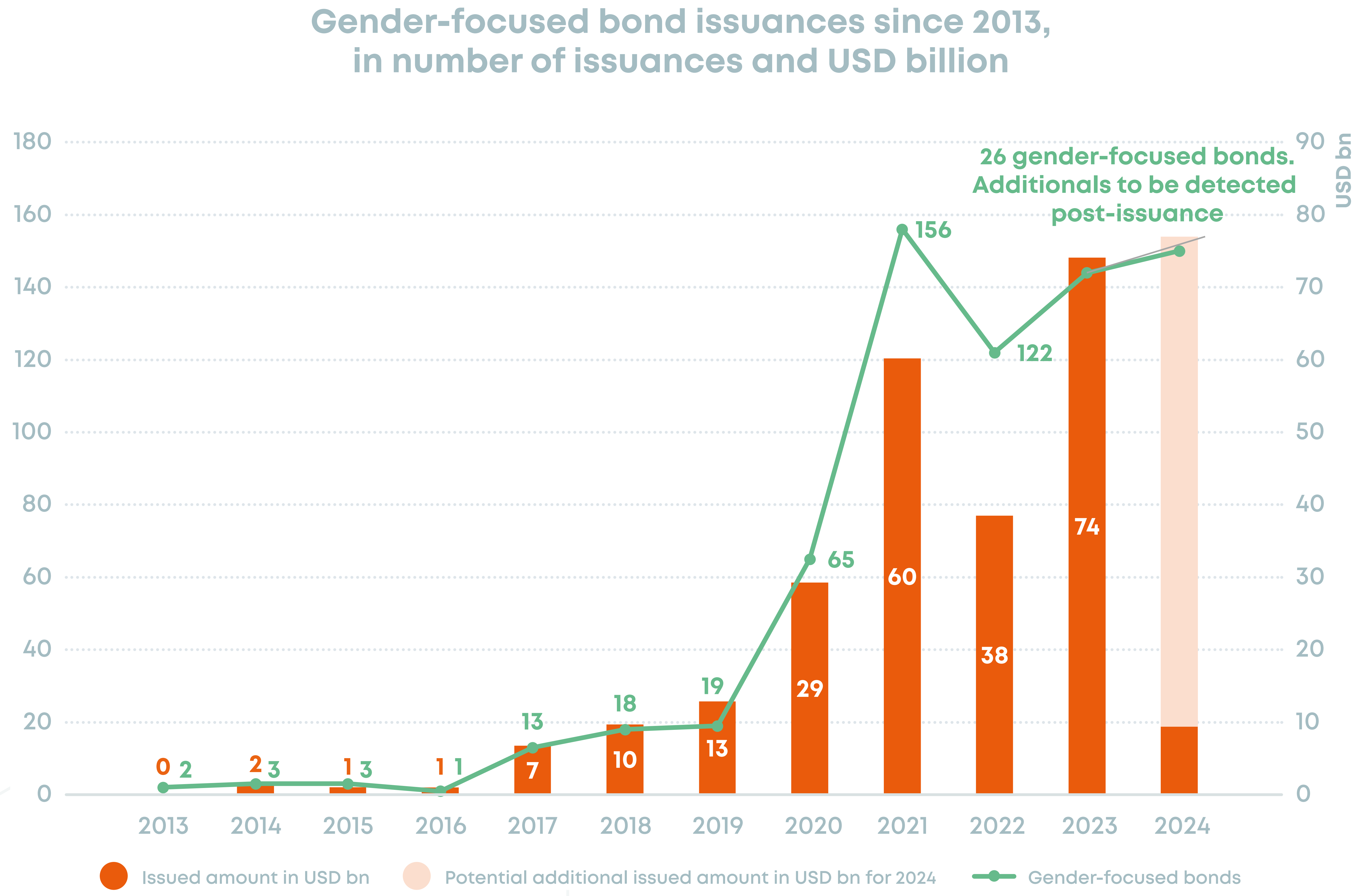
- Direct a meaningful portion of the financing towards initiatives that promote women's empowerment and gender equality.

Demonstrate ambition beyond compliance (SLBs)

- Set targets that go beyond legal or regulatory requirements to reflect genuine commitment.

3 Emergence of gender-focused bonds

The growth of the gender-focused bond market



- There has been a steady **growth in issuances of gender-focused bonds** since 2013 that has accelerated in recent years.
- This increase over time demonstrates an **uptick in interest** for this type of instrument.
- As at 1 June 2025, the gender-focused bond market represented **576 bonds, issued by 133 different issuers, raising a total of USD 246 billion** for gender equality and women's empowerment.
- Most gender-focused bonds are identified post-issuance therefore, we expect the figures for 2024 to surpass 2023 levels after verification on post-issuance reporting is conducted.

***Note:** The year 2025 is not included in the chart as the data for the year is not yet complete. / **Source:** LGX DataHub*

Key milestones in the gender-focused bond market

2013

IFC (World Bank Group) issued the first-ever Banking on **Women Bond**

2017

First **Women's Livelihood Bond™ (WLB™)**, by **Impact Investment Exchange (IIX)**

2020

First gender-focused SLB issued by **Schneider Electric**

2021

ICMA, IFC and UN Women **published 'A Practitioner's Guide to Using Sustainable Debt for Gender Equality'**

2022

First gender bond from Sub-Saharan Africa issued by **NMB Bank**

2023

LuxSE published an in-depth **study on gender-focused bonds** and, in collaboration with **UN Women**, released a complementary **case study series**

2024

FSD Africa, BII and UN Women jointly published **"Gender bonds: A toolkit for the design and issuance of gender bonds in Africa"**

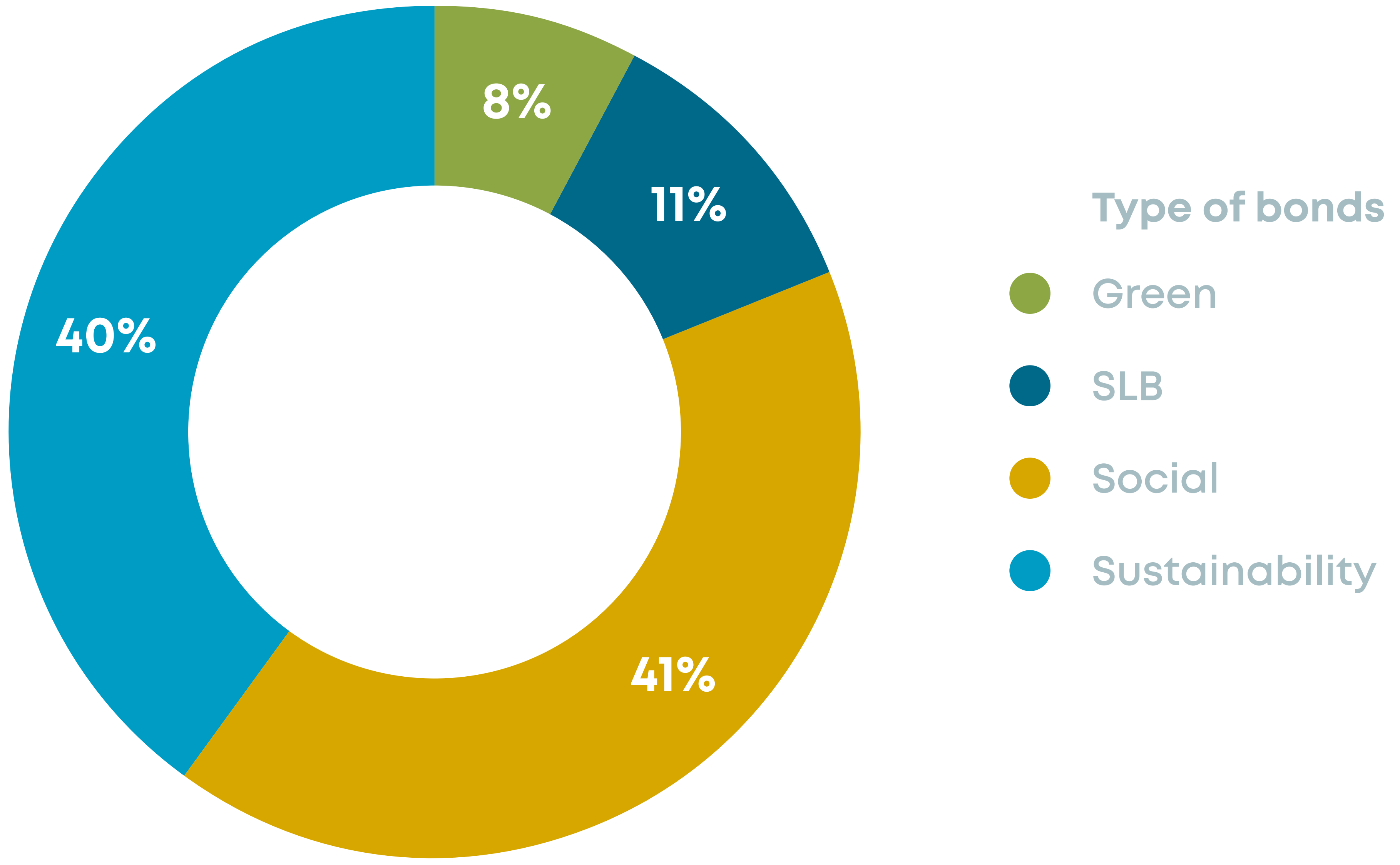
2025

EIB extended its Sustainability Awareness Bond (SAB) programme to **cover "gender equality" and "women's economic empowerment"**

Source: *LGX DataHub*

Gender considerations embedded in all types of sustainable bonds

Breakdown of gender-focused bonds by type, in number of gender-focused bonds

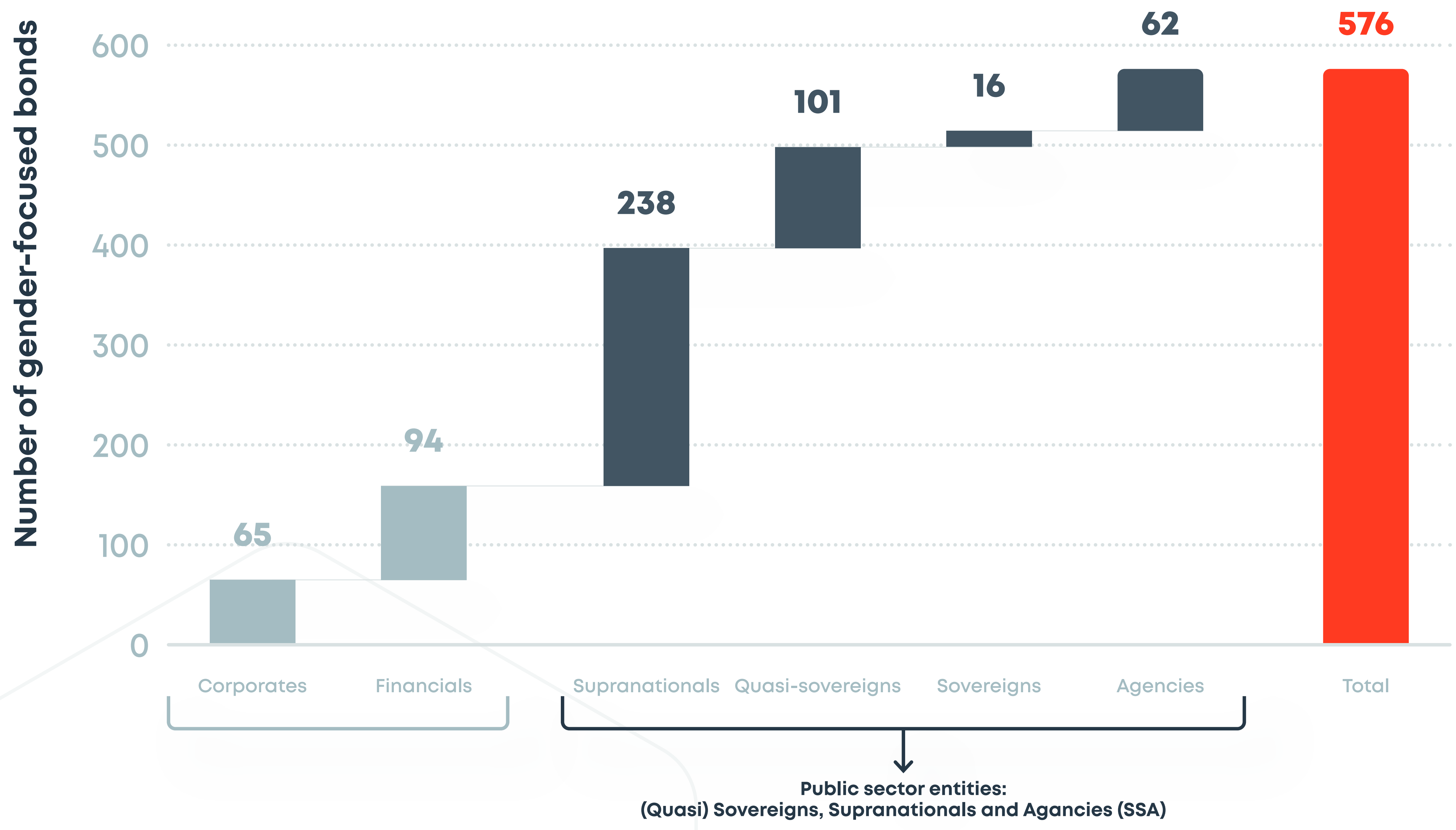


- Issuers of **all types of sustainable bonds** have reported **allocating proceeds to projects that advance gender equality** (in the case of use-of-proceeds bonds) **or setting gender equality or women's empowerment targets** (in the case of SLBs) and have therefore been flagged as gender-focused bonds.
- In practice, **most gender-focused bonds are issued as social or sustainability bonds**. Together, these two categories represent 81% of gender-focused bonds. Green bonds and SLBs each account for the remaining 19%.

Scope: *Entire gender-focused bond universe, which consists of 576 bonds (including matured bonds) issued before 1 June 2025. /* ***Source:*** *LGX DataHub*

Gender-focused bonds are issued by all types of issuers with supranational entities in the lead

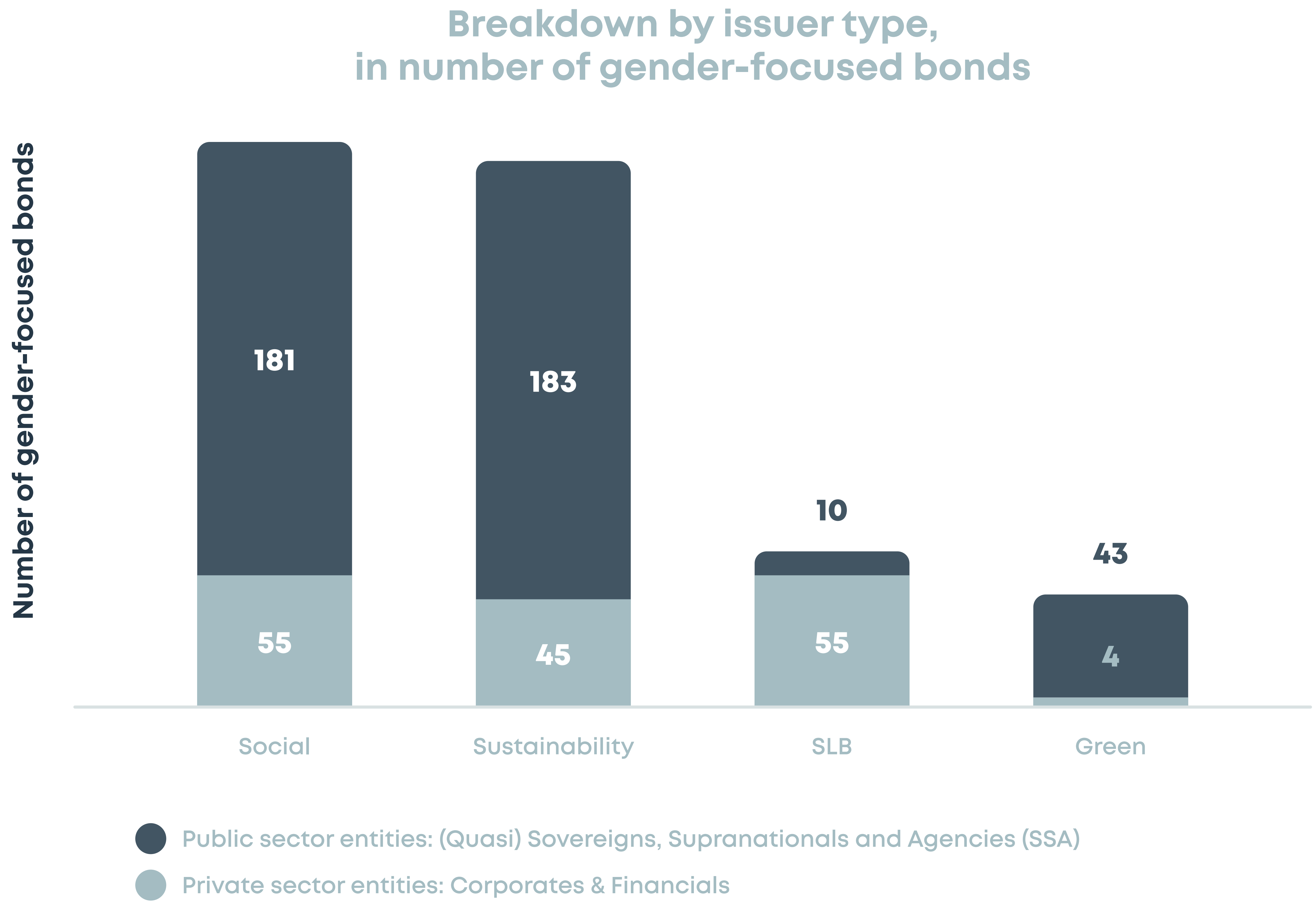
Breakdown by issuer type, in number of gender-focused bonds



- With 238 issuances, **supranational entities have issued approximately 40% of all gender-focused bonds**, making them by far the largest category of issuer type. This dominance is driven by major issuers such as the Asian Infrastructure Investment Bank (**AIIB**), the Asian Development Bank (**ADB**), and **IFC**.
- **Quasi-sovereigns follow** with 101 issuances, led by top issuers including Nederlandse Waterschapsbank (**NWB Bank**) and the French Development Agency (Agence Française de Développement, **AFD**).
- **Financials and corporates represent 16% and 11%** of gender-focused bond issuances, respectively.

***Scope:** Entire gender-focused bond universe, which consists of 576 bonds (including matured bonds) issued before 1 June 2025. / **Source:** LGX DataHub*

Private sector entities dominate gender-focused SLB space



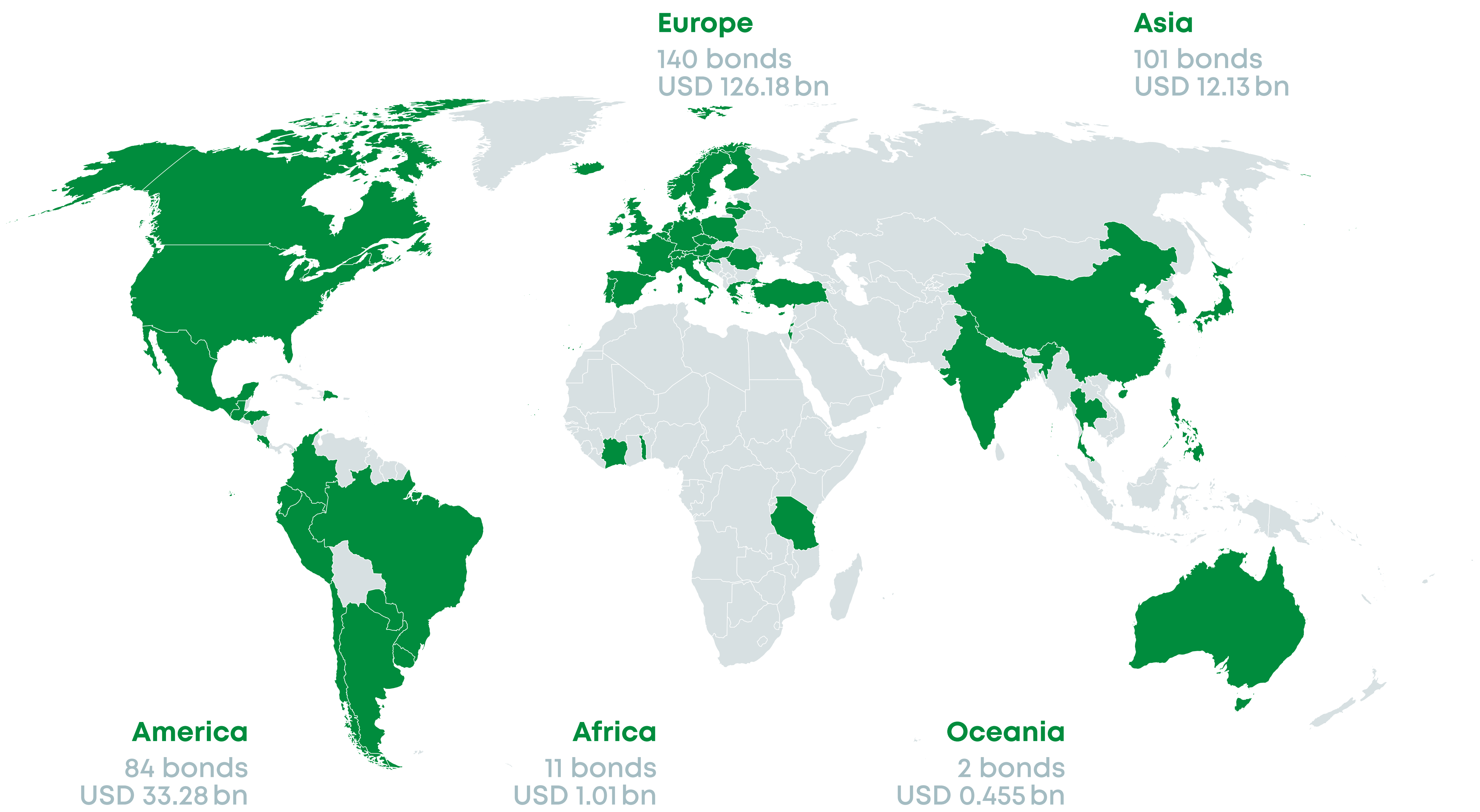
- **Private sector entities (corporates and financial) are particularly inclined to issue gender-focused SLBs**. This is in contrast with use-of-proceeds bonds where SSAs account for the majority of issuances. Examples of gender-focused SLB issuers includes:
  - **Corporates:** S&P Global, Barloworld, Pandora and Shiseido
  - **Financials:** Brasil, Bolsa, Balcão (B3), EQT
- Note that this trend is in line with the broader SLB market where the private sector accounts for most of the issuances.

Scope: Entire gender-focused bond universe, which consists of 576 bonds (including matured bonds) issued before 1 June 2025. / Source: LGX DataHub

4 Snapshot of the gender-focused bond market

Europe leads the way with 140 gender-focused bonds totalling USD 126 billion

Breakdown by continent, by number of gender-focused bonds and USD billion



- When considering the continent where issuers are located, **Europe is the frontrunner** in terms of both number of issuances and volume. The leading position of Europe is in line with the dominant position of the continent in the global sustainable bond market.
- **Asia comes second in terms of the number of issuances**. This position is largely driven by the **significant growth of Asian issuers in the social bond market**, where they represented close to half of the global social bond issuance volume in 2024. At the same time, as noted previously, the majority of gender-focused bonds fall under the social and sustainability bond categories.
- American issuers come **third** in terms of bond **issuances** and **second** in terms of **issued volume**.

__Scope:__ Entire gender-focused bond universe, which consists of 576 bonds (including matured bonds) issued before June 1, 2025. In addition to the bonds displayed in the above illustration, supranational entities issued 238 bonds representing USD 72.96 bn. / __Source:__ LGX DataHub

Issuers in the Netherlands, France and Spain most active in the European gender-focused bond market

Ranking of issuer countries by number of gender focused-bonds issued

Europe — 140 gender-focused bonds | USD 126.18 billion

Issuer country	# Gender-focused bonds	USD bn
Netherlands	45	38.89
France	31	49.90
Spain	18	15.00
Luxembourg	7	3.09
Sweden	6	1.77
Germany	5	7.84
Iceland	5	1.72
Italy	5	2.13

Issuer country	# Gender-focused bonds	USD bn
Austria	4	1.76
Belgium	4	0.76
United Kingdom	3	0.60
Portugal	2	0.11
Poland	2	0.53
Croatia	1	0.04
Romania	1	0.55
Slovenia	1	1.48

Source: *LGX DataHub*

Issuers in Japan and the U.S. particularly active in remaining global gender-focused bond market

Ranking of issuer countries by number of gender focused-bonds issued

Asia — 101 Bonds | USD 12.13 billion

Issuer country	# Gender-focused bonds	USD bn
Japan	76	8.24
Singapore	10	0.21
Indonesia	6	2.15
Malaysia	3	0.45
Korea (Republic of)	2	0.50
Uzbekistan	2	0.24
India	1	0.05
Philippines	1	0.30

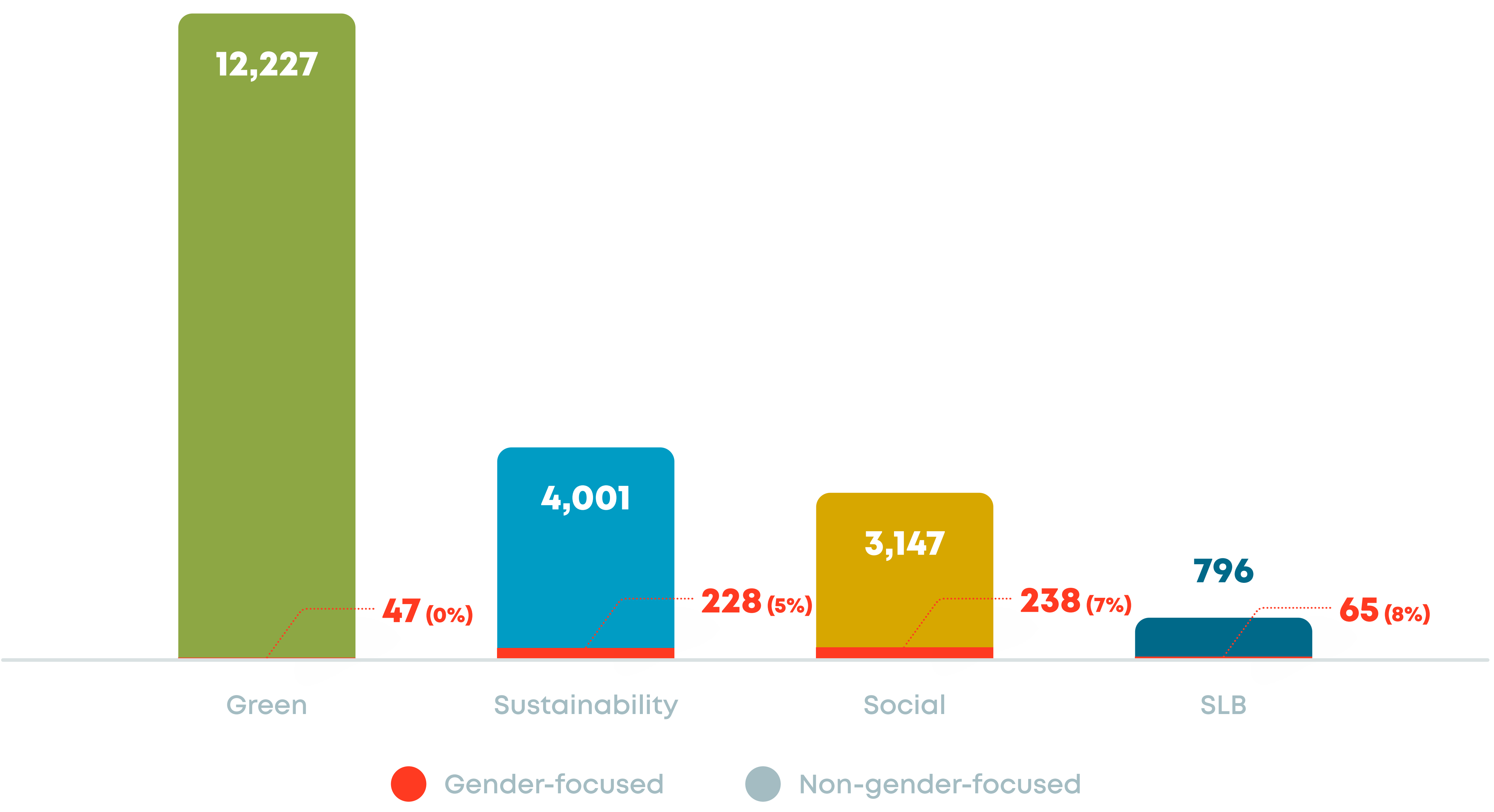
Americas — 84 Bonds | USD 33.28 billion

Issuer country	# Gender-focused bonds	USD bn
USA	27	15.78
Mexico	15	2.07
Chile	12	8.65
Colombia	12	0.77
Brazil	8	2.45
Canada	4	3.24
Peru	3	0.32
Argentina	2	0.00
Bolivia	1	0.00

***Source:** LGX DataHub*

Gender-focused bonds on the rise but still represent a largely untapped opportunity

Gender-focused bonds vs non-gender-focused bonds by sustainable bond type and by number of bonds



- As of 1 June 2025, **gender-focused bonds accounted for 3% of all sustainable bonds** (including matured bonds and since the market's inception).
- There are disparities among the different types of sustainable bonds. Gender-focused bonds represent a larger share within **social bonds and SLBs, accounting for 7% and 8% of their respective totals**. Gender-focused sustainability bonds make up 5% of all sustainability bonds. These proportions are **significantly higher than those observed for green bonds**.
- This trend can be explained by the nature of projects typically financed under social categories, where links to gender equality and women's empowerment tend to be more direct.

__Scope:__ Entire gender-focused bond universe, which consists of 576 bonds (including matured bonds) issued before 1 June 2025. / __Source:__ LGX DataHub

5

What projects are financed through gender-focused bonds?

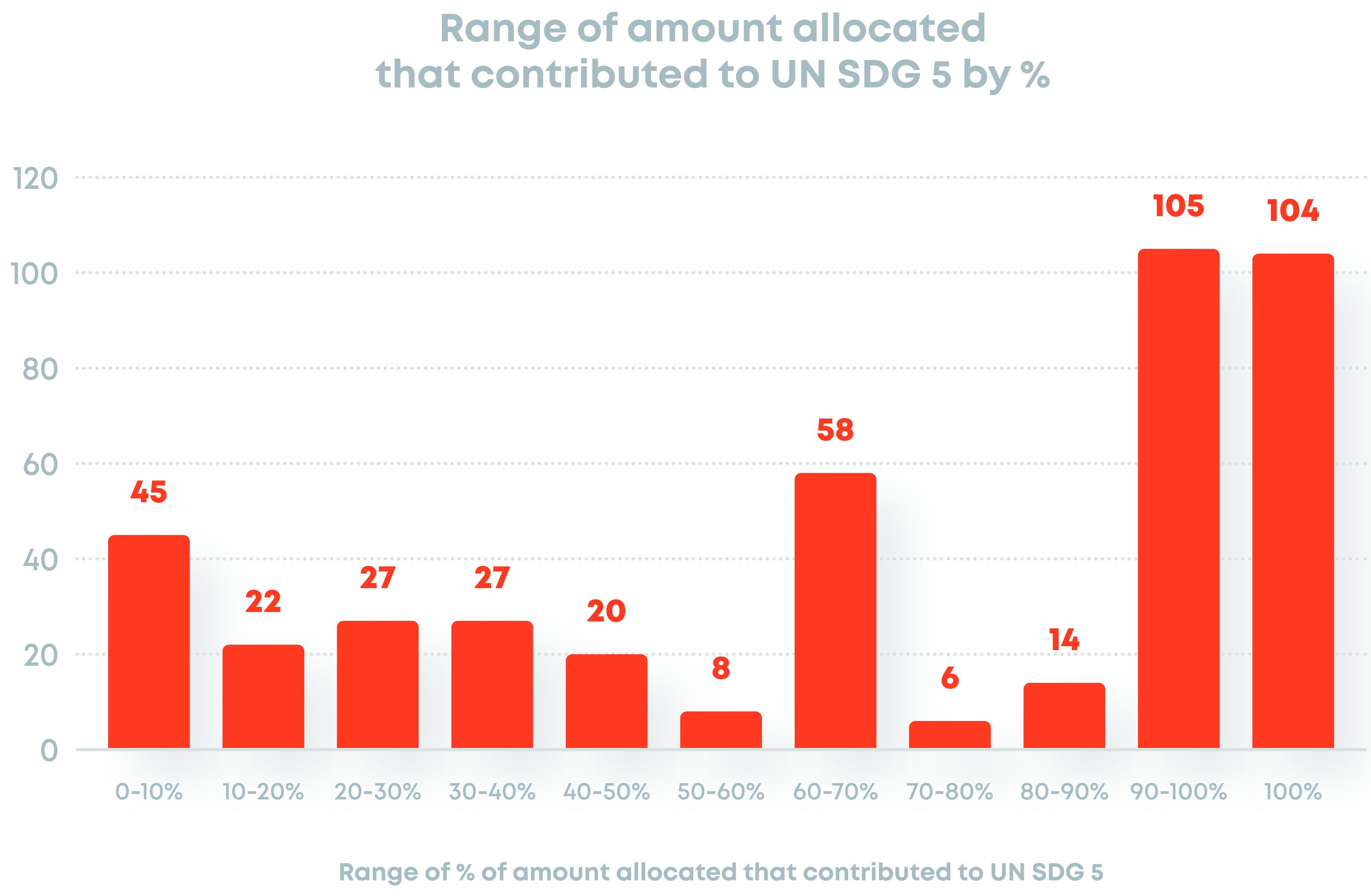
Access to essential services, socio-economic advancements and housing are key areas for use-of-proceeds gender-focused bonds

USD billion issued amount allocated to project categories based on ICMA's principles

- **Considering the full amount allocated** through use-of-proceeds gender-focused bonds, **almost half finance the ICMA social project category "access to essential services** (e.g. health, education and vocational training, healthcare, financing and financial services)". While some of these projects relate to UN SDG 5, not all do, as most gender-focused bonds target UN SDG 5 next to other objectives (see next slide).
- The next most important categories of projects financed are **"socio-economic advancements and empowerment"** and **"affordable housing"**.
- Social categories are more prominent than green categories, reflecting the **predominance of social and sustainability bonds over green bonds** in the gender-focused bond market.

Scope: *Use-of proceeds gender-focused bond universe, which consists of 511 bonds (including matured bonds) issued before 1 June 2025. /* ***Source:*** *LGX DataHub*

Majority of use-of-proceeds gender-focused bonds allocated most of funding to projects promoting gender equality



- **104 gender-focused bonds reported that 100% of their allocated proceeds were allocated to UN SDG 5**-related projects. An additional 105 bonds reported allocating between 80% and 90% of their funds to such projects.
- **In aggregate, 295 gender-focused bonds — representing 68% of those with sufficient reporting — allocated the majority of their proceeds to projects promoting gender equality and women's empowerment** i.e., over 50% of the funds allocated contributed to projects related to UN SDG 5.
- At the other end of the spectrum, 45 gender-focused bonds reported allocating less than 10% of their proceeds to projects contributing to UN SDG 5.

__Scope:__ Use-of-proceeds gender-focused bond universe, which consists of 511 bonds (including matured bonds) issued before 1 June 2025. 140 use-of proceeds bonds have not sufficient reporting on allocation available and are therefore not included in the above graph. / __Source:__ LGX DataHub

Majority of use-of-proceeds gender-focused bonds allocated most of funding to projects promoting gender equality

Effective categories per issuer containing gender-related terms

Loans to women-owned or -led businesses

Access to essential services (housing, infrastructure, loans to women etc.)

Enable gender equality/inclusion/equity

Support for female entrepreneurship

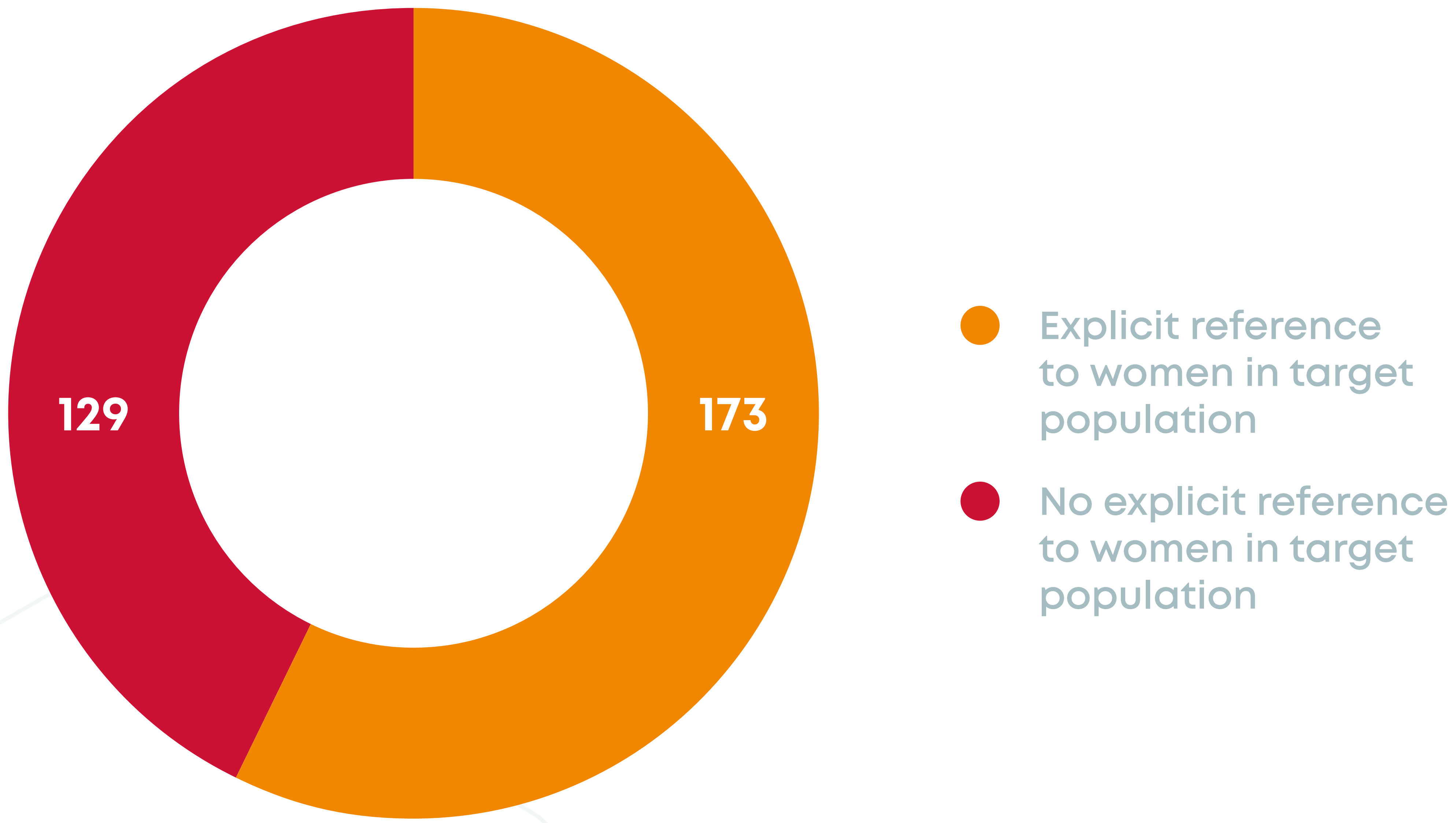
- When looking at specific gender-related projects reported by issuers with a label referring to women, it shows that use-of-proceeds gender-focused bonds typically finance projects specifically targeting women across **four broad project categories:**
  - **Loans to women-owned or -led businesses**
  - **Access to essential services (e.g., education, healthcare, vocational training, financial services)**
  - **Support for female entrepreneurship**
  - **Promotion of gender equality, inclusion, and equity**
- Loans to women and their businesses represents a dominant category.

Note: *Categories of projects as reported by the issuer containing gender- related terms i.e., as "women", "girls", "gender" or "female" /* ***Scope:*** *Use-of proceeds gender-focused bond universe, which consists of 511 bonds (including matured bonds) issued before 1 June 2025*
Source: *LGX DataHub*

6 Focus on issuer's documentation

"Women and gender/sexual minorities" included in target population of 173 bonds

Documentation referring to women in their target population, in number of social and sustainability gender-focused bonds



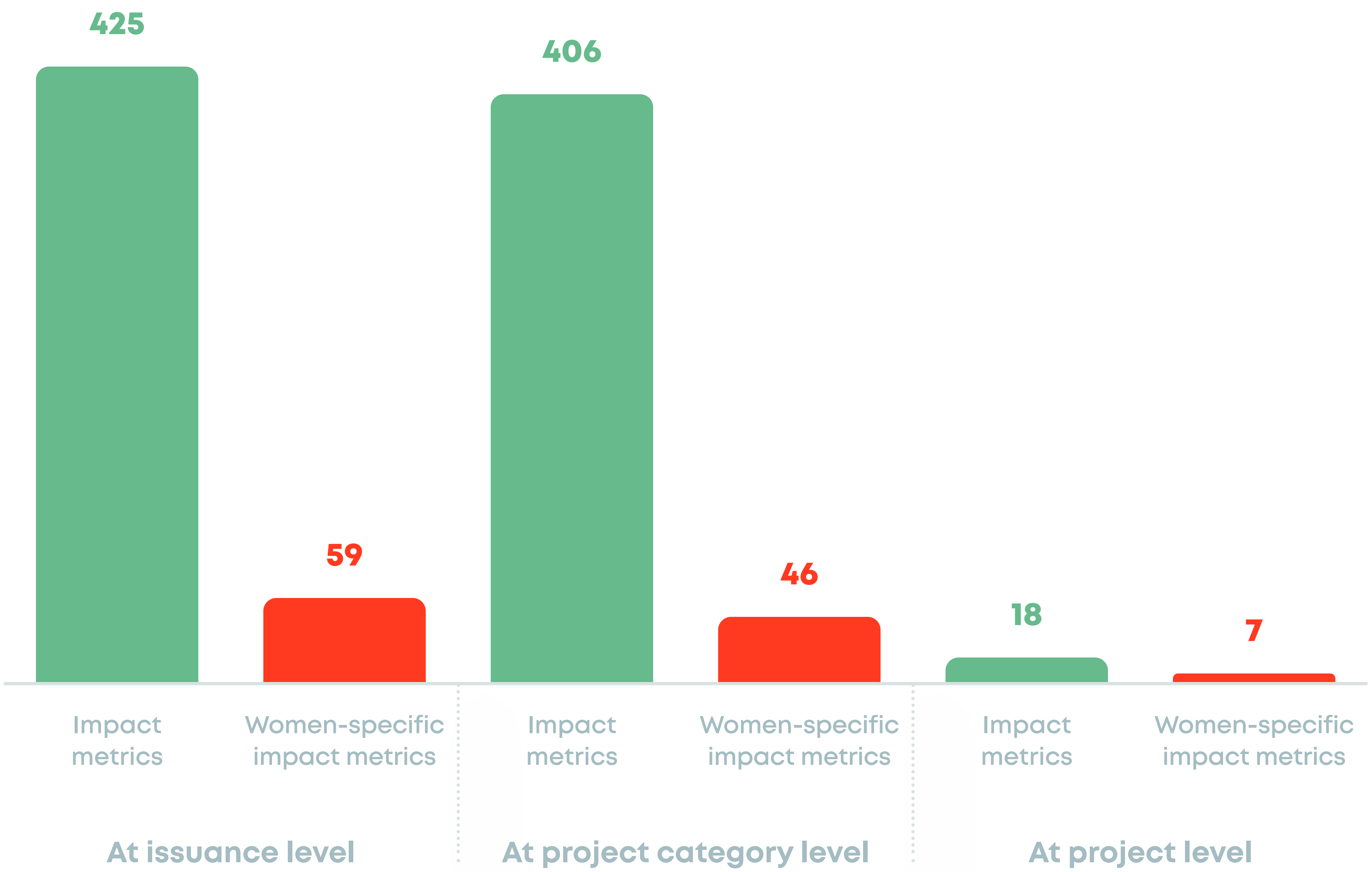
- According to ICMA principles, the target population identifies the population for which **positive socio-economic outcomes are expected** through a social or sustainability bond issuance, as identified by the issuer in pre-issuance documentation.
- The documentation of **173 social and sustainability bonds** include gender-related terms in the definition of their target population, specifically mentioning one of the following keywords: "women", "gender", "female" or "diversity." The most commonly used phrasing is "**women and gender/sexual minorities"**, which appears in the documentation of 150 bonds.
- **In 2020, ICMA updated its Social Bond Principles to notably include "women and gender/sexual minorities"** among cited examples of target populations for those social project categories.

__Scope:__ Social and sustainability gender-focused bond universe, which consists of 464 bonds (including matured bonds) issued before 1 June 2025. 162 social and sustainability bonds (of which ADB and AIIB account for most) do not clearly specify the target and are therefore not included in the above chart. / __Source:__ LGX DataHub

FOCUS ON ISSUER'S DOCUMENTATION

Impact metrics are rarely disaggregated to be specific to women

Number of gender-focused bonds' documentation with reported impact metrics & women-specific metrics[1]



» **At global issuance and project category level, only 59 and 46 bonds** respectively, **representing 14% and 11% of gender-focused issuances** that reported impact metrics, **included disaggregated metrics specific to women**. Issuers of use-of-proceeds bonds often use impact metrics that encompass a broad group — which includes women — without disaggregating impact specific to women (e.g., vulnerable people, number of patients).

» **At a more granular level, when issuers showcase impact through specific projects** and provide impact metrics, 7 bonds — representing **39% of gender-focused issuances — included metrics specific to women**.

EXAMPLES OF WOMEN-SPECIFIC METRICS:

- **Number of loans to women/women-owned microenterprises**
- **Number of female (doctoral) students**
- **Women's enterprises advised**

[1] *Women specific metrics as reported by the issuer are metrics containing gender- related terms i.e., "woman", "women", "girls", "gender" or "female" / **Scope:** Use-of proceeds gender-focused bond universe with post-issuance reporting, which consists of 492 bonds (including matured bonds) issued before 1 June 2025 / **Source:** LGX DataHub*

7 Gender-focused SLB targets

GENDER-FOCUSED SLB TARGETS

Most gender-focused SLBs' targets relate to women representation within an organisation

Breakdown of SLB targets by topic area, by number of gender-focused SLBs and issuers

- Issuers of SLBs predominantly focus on setting targets related to the **representation of women in staff/Board of Directors (BoD)/ leadership**, but some go further, setting targets for **loans or capital allocation to women**-founded or -led companies, **procurement spending or women**-led companies in investment portfolios, for instance.
- For public entities, targets notably include a quota at companies that report to a regulator or a city index.

Scope: SLB gender-focused bond universe, which consists of 65 bonds (including matured bonds) issued before 1 June 2025 / ***Source:*** *LGX DataHub*

8 Case studies

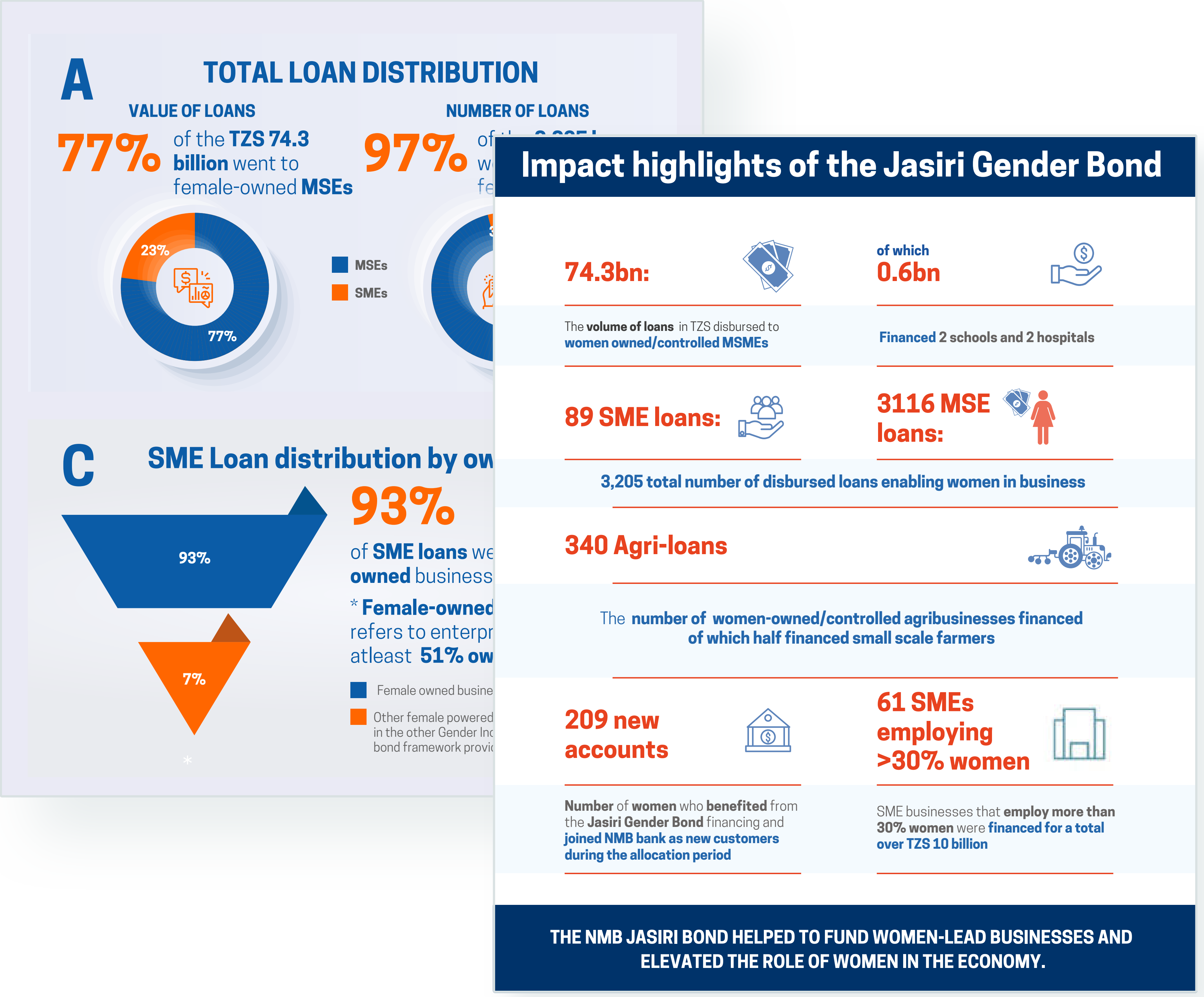
CASE STUDIES

Funding women-owned businesses in Tanzania

Social bond issued by a Tanzanian commercial bank

Key characteristics	
Issuer, location:	NMB Bank, Tanzania
Amount issued:	USD 32 million (TZS 74 billion)
Issuance year:	2022
Maturity year:	2025
Gender considerations in the use of proceeds:	In 2022, Tanzanian commercial bank, NMB Bank became the first issuer of a gender-focused bond in Sub-Saharan Africa. The issuance was driven by NMB Bank's recognition of the **gender financing** gap and the need to develop innovative ways to reach and fund women in the Sub-Saharan country. The bond aimed to support **over 3,000 women-led MSMEs** in Tanzania. NMB Bank focused on **gender empowerment** by offering affordable financing to: · **Women-owned/controlled enterprises** · Businesses offering products/services directly impacting women
Gender considerations in impact reporting:	NMB Bank's impact reporting includes **gender-specific metrics**, such as the **number of loans to female-owned MSEs**.

Extracts from NMB Bank Impact Report:



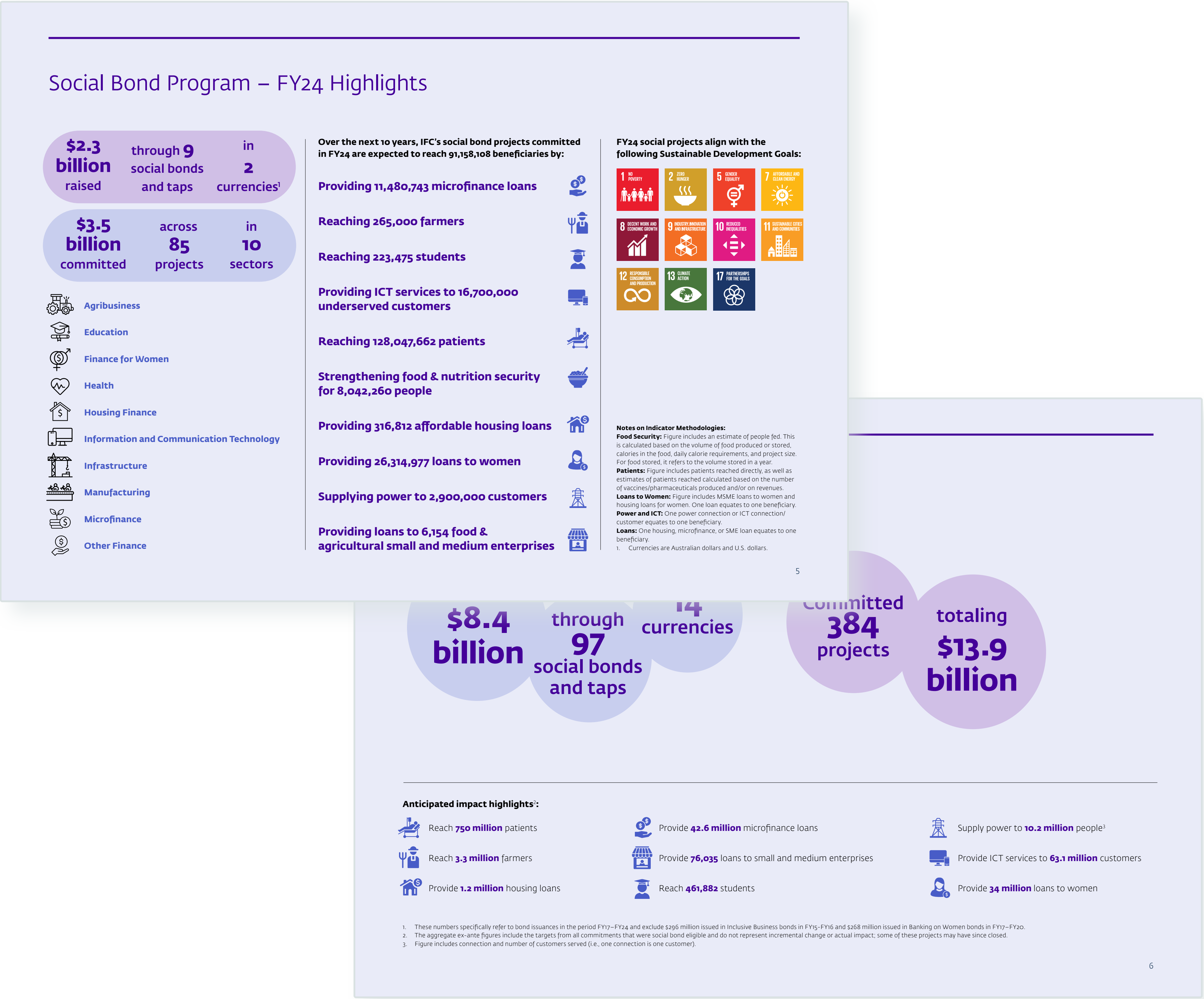
Source: NMB Bank Impact report

Funding women-owned enterprises and underserved communities

Social bond issued by a Supranational entity

Key characteristics	
Issuer, location:	International Finance Corporation (IFC)
Amount issued:	USD 400 million (CAD 500 million)
Issuance year:	2022
Maturity year:	2027
Gender considerations in the use of proceeds:	In 2022, IFC issued a social bond with proceeds allocated to finance: 1 **Women-owned enterprises** via "Banking on Women Eligible Projects". Banking on Women Projects will generally involve IFC lending to financial intermediaries, which are required to on-lend to **women-owned enterprises**. 2 *"Inclusive Business Eligible Projects"* focused on underserved communities. *Inclusive Business Projects* involve projects that support individuals at the **Base of the Economic Pyramid (BOP)** (earning <USD 8/ day or lacking access to basic services). These projects aim to integrate such individuals into value chains — as suppliers, distributors, or customers — in a **scalable, commercially viable way**.
Gender considerations in impact reporting:	IFC explicitly **tracks and reports on women-specific impacts and projects**. Its documentation highlights gender outcomes and transparency.

Extracts from IFC Green and Social Bond Impact Report 2024:



Source: *IFC Green and Social Bond Impact Report 2024*

Targeting female leaders

SLB issued by a Japanese cosmetic company

Key characteristics	
Issuer, location:	Shiseido, Japan
Amount issued:	USD 100 million (JPY 20 billion)
Issuance year:	2022
Maturity year:	2027
Gender considerations in the use of proceeds:	In 2022, the Japanese beauty company Shiseido issued an SLB with a target to reach a **40% share of female leaders in its organisation in Japan by January 2026**, up from **32% in 2019**. The company emphasised that **women's empowerment in the workplace** is a key priority. It aims to foster an environment where female employees can thrive and contribute to decision-making processes. Although the ratio of women in leadership positions in Shiseido was already **higher than the average for Japanese companies**, it stated that further improvement is urgently needed. **If its SLB targets are not met**, 0.1% of the issuance amount will be donated to a public-interest organisation supporting **gender equality, women's empowerment**, or **environmental preservation**.
Gender considerations in impact reporting:	As of **January 2024**, women hold **40%** of management positions at Shiseido Group in Japan, **meeting the 2026 target ahead of time**.

Source: *Sisheido Sustainability report 2023*

Extracts from Shiseido Sustainability Report 2023:

Social Data

Data marked with ● has been third-party certified.

Assurance Statement for Social Data

Number of Shiseido Group Employees

PERIOD: As of January 1 each year in Japan, and December 31 of the previous year outside Japan
SCOPE: Entire Shiseido Group

	2020	2021	2022	2023	2024
Total (persons)	46,763	45,527	40,484	38,878	35,675
Ratio of Women (%)	85.6	83.0	82.2	81.9	82.2

Number of Employees by Region (persons)

PERIOD: As of January 1 each year
SCOPE: Shiseido Group in Japan (21 companies)

	2020	2021	2022	2023	2024
Japan	24,884 ●	24,903 ●	23,458 ●	22,129 ●	20,793 ●

Ratio of Women Leaders (%)

PERIOD: As of January 1 each year in Japan, and December 31 of the previous year outside Japan

	2020	2021	2022	2023	2024
Entire Shiseido Group	52.7	57.5	58.3	58.1	58.8 *1
Japan Target: To achieve 50%*2	33.1 ●	34.7 ●	37.3 ●	37.6 ●	40.0 ●

*1 Ratio of women junior managers in entire Shiseido Group: 64.7%.
*2 Leaders: Manager position holders and annual salary system employees. Scope: Shiseido Group in Japan (21 companies)

Diversity in Top Management

PERIOD: As of April 1 each year

	2020	2021	2022	2023	2024
Ratio of women on Board of Directors *1 (%)	46.2	46.2	46.2	40.0	45.5
External directors ratio on Board of Directors (%)	53.8	53.8	53.8	53.3	63.6
Ratio of women executive officers (%)	25.0 *2	31.6	35.3	35.3	40.0
Ratio of women of all top management*3 (%)	28.3	41.7	42.9	44.1	43.8

*1 Ratio of women directors and Audit & Supervisory Board members is shown until 2023. With the transition to a "Company with Three Statutory Committees" at the 124th Ordinary General Meeting (March 26, 2024), the ratio of women directors is shown from 2024.
*2 Ratio of women corporate officers
*3 Leaders within 2 levels from the CEO

Targeting women on boards within its market

SLB issued by a Sovereign

Key characteristics	
Issuer, location:	Chile (the Republic of)
Amount issued:	USD 2.2 billion (CLP 1.75 billion)
Issuance year:	2023
Maturity year:	2037
Gender considerations in the use of proceeds:	In 2023, Chile issued a sovereign SLB with a **target of having at least 40% women** on boards of companies reporting to the **Financial Market Commission (CMF)** by 2031, up from **14.0% in 2022**. This target demonstrates Chile's commitment to increasing gender parity in corporate leadership. The issuer aims to set a **strong precedent for private sector companies** in the South American country by encouraging them to follow the example of **state-owned companies**.
Gender considerations in impact reporting:	As of year-end **2023**, women held **15.9%** of board positions in companies under the CMF. Chile's SLB Report notes that the government is taking **proactive measures to increase women's participation** in corporate boards.

Source: *Chile's SLB Report 2024*

Extracts from Chile's SLB Report 2024:

c. KPI 3: Percentage of women in board member positions at companies that report to the CMF

Given the clear benefits of greater participation of women in board member positions, Chile decided to incorporate a KPI seeking to achieve a share at least 40% of women in boards of average companies that report to CMF (*Comisión para el Mercado Financiero* Chile's Financial regulatory body) by 2031. By setting a target for all companies subject to the CMF, Chile is creating a strong and encouraging precedent for other companies in Chile to emulate the successfully achievements reached so far by State owned Companies.

The KPI is measured as the total number of women board members ratio of total number of members in boards of director across all companies that report to CMF. For avoidance of doubt, this is considering an average across all companies.

The scope of the companies included in KPI 3 are mainly companies that report to the CMF in accordance with Norma 386. This percentage is contained in the Gender Indicator of Chilean Companies Report (Reporte de Indicadores de Género de las Empresas en Chile), which includes the participation of the International Labour Organization and the NGO Chile Mujeres, to support the integrity of the data provided and to avoid errors through the collection and reporting process.

Thus, the consolidated evolution of KPIs is shown in Table 3.

Table 3 | Summary of KPIs evolution.

Year	2018	2019	2020	2021	2022	2023
GHG Emissions (ktCO2eq)	109,46	111,03	105,55	n.a.	n.a.	n.a.
NCRE Participation (% total)	18.3	19.5	22.2	27.2	33.4	37.1
Women on Board of Directors in Priv & SEP (%)	n.a.	10.6	10.5	12.7	14.0	15.9

Source: DMO, Ministry of Finance.

works to focus and prioritize the work of different institutions.

Although the participation of this technology in the current matrix is low, it is expected it will increase in the future.

c. Measures to increase the participation of women in boards of directors

Women's participation in decisionmaking positions is critical to promoting gender equality and diversity and inclusion. During the current administration, 94 new members appointed on the board of public companies were women. The Government of President Boric also introduced "Chile para Todos" (Chile for All), a comprehensive and intersectional plan to promote gender equality. The five main measures of the "Chile para Todas" plan includes: i) Enactment of the Parental Responsibility and Effective Payment of Maintenance Debts Law 2; ii) Flexible start times for people who have children under 12 years of age under their care 3; iii) Special permits for caregivers of children under 12 years of age; iv) Reduced working hours for domestic employees; v) Development of 40 care and protection centers

The implementation of the CMF General Standards N°386 and N°461 raised disclosure standards for the companies it oversees. They incorporate a "Report of Social Responsibility and Sustainable Development", that provides indicators on the diversity of the board, senior management, and the entire organization, along with indicators on gender pay gaps, and information requirements on sustainability and corporate governance in environmental, social and governance topics. Chile has also made progress in increasing female participation in historically male-dominated sectors, with the auctions and projects of the Ministry of Public Works including gender factors, as well as the "Energía + Mujer" initiative from the Ministry of Energy. Through the use of public-private partnerships, the "Energía + Mujer" initiative aims to rectify gaps and barriers of the advancement of women in the energy sector, with the goal of promoting more diverse leadership and management.

Finally, there is a bill under discussion in Congress to establish a mandatory quota for women participation on boards of all companies under the scope of the CMF. The original bill, titled "Más Mujeres en Directorios" (more women on Boards of Companies), established a suggested quota of 20.0% for the first three years. Then, in the fourth and fifth year, the suggested quota will increase to 40.0%. The bill is under discussion of the Congress.

10 https://hidrogenoverde.minenergia.cl/
11 https://www.planhidrogenoverde.cl/

9 Recommendations

Key challenges and gaps

Based on analysis of the 576 listed gender-focused bonds, the following key challenges and gaps were identified

CHALLENGE/GAP	DESCRIPTION
1. Lack of intentionality and clear frameworks	Issuers often lack clear, well-defined gender strategies. There is no universal standard for what qualifies as a "gender-focused" bond, leading to weak or inconsistent articulation of gender components.
2. Insufficient use of gender data and tools	Gender-disaggregated data and analytical tools are underutilised. This limits the ability to benchmark, assess gender outcomes, and design impactful gender interventions.
3. Minimal ambition and compliance-oriented approaches	Some issuers aim to only meet minimum legal requirements rather than set ambitious goals for gender equality. Targets are then symbolic or weak — particularly relevant for SLBs.
4. Inadequate impact tracking and reporting	Measurable, sex-disaggregated indicators are often absent, reducing accountability and the ability to assess or communicate gender impact effectively.
5. Developing standards landscape	Gender-focused bonds are emerging within a still-developing standards landscape, where the absence of common benchmarks also creates risks of "gender-washing".

Key recommendations

Based on analysis of the 576 listed gender-focused bonds, the following key recommendations were identified to foster growth in the gender-focused bond market

RECOMMENDATION	DESCRIPTION
1. Establish a clear framework with explicit gender components	Ensure the bond's framework explicitly outlines the intentionality behind the issuance, defines the gender-related objectives, and specifies how proceeds will address these objectives. This enhances transparency and investor confidence.
2. Leverage existing gender-focused initiatives and data	Use established frameworks (e.g., 2X Criteria, UN SDG 5) and existing gender-disaggregated datasets to strengthen project selection, enhance impact measurement, and guide reporting.
3. Demonstrate ambition beyond compliance	Set bold and meaningful targets that go beyond compliance, such as allocating a substantial share of proceeds to projects that promote women's empowerment, leadership, or economic participation.
4. Track and report on gender impact	Develop and disclose clear, measurable outcomes specific to women and girls. Use sex-disaggregated metrics and report transparently to ensure accountability and build investor trust.
5. Strengthen certification and reporting practices	Explore options to introduce certification approaches that help verify gender-related claims, while encouraging Second Party Opinion (SPO) providers to more explicitly assess gender elements in order to enhance credibility and build market confidence.

10 Momentum and future outlook

Scaling gender-focused bonds: Signals, support and opportunities

Mobilising finance for gender equality and women's empowerment

- Financial instruments such as bonds offer powerful means to channel capital toward advancing gender equality and women's empowerment, enabling positive and measurable outcomes while also delivering financial returns.
- Both the public and private sectors have a vital role to play — individually and in partnership — in scaling up the gender-focused bond market and accelerating progress toward inclusive and sustainable development.
- Recent developments have called into question the role of Diversity & Inclusion (D&I) initiatives, introducing a degree of uncertainty for gender-focused strategies. While this may prompt a more cautious approach from some actors, it also underscores the need for credible, impact-driven financing tools such as gender-focused bonds.
- Several U.S. issuers have made public commitments to gender equality and women's empowerment through use-of-proceed bonds and especially SLBs, setting measurable targets related to female leadership. So far, these commitments have been upheld.
- There is growing momentum: Issuers and investors alike are recognising the strategic value of gender-focused bonds, not only to address critical social needs but also to enhance portfolio diversification and impact.
- Despite the relatively recent emergence of gender-focused bonds and the absence of a standardised definition, the appetite for these instruments is growing. However, the lack of robust market data remains a challenge. Establishing strong certification and reporting frameworks would significantly enhance transparency, credibility and investor confidence.
- With continued collaboration and innovation, gender-focused bonds have the potential to become a cornerstone of inclusive finance—unlocking opportunities and driving transformative change for women and girls around the world.

Advancing 2X Certification for gender bonds

Mobilising finance for women's equity and empowerment

- 2X Global is actively developing a dedicated **2X Certification pathway for gender bonds**, building on our experience certifying funds, companies, and financial institutions, and anchored in a detailed methodology with clear KPIs and indicators. The pathway is being shaped in close collaboration with market actors such as LuxSE and across the bond value chain, aiming to promote credibility, usability, and alignment with global standards. This initiative represents the next step in a process we have been advancing since our collective commitment at the 2022 G7 Summit to extend 2X Certification to bonds, followed by extensive stakeholder consultations in 2023 that laid the groundwork. With this co-creation process now culminating in a dedicated deep dive into bonds, the pathway responds to growing market momentum and the call for greater transparency and accountability in gender finance.

- The pathway is designed to complement and stand alongside existing initiatives by offering a certification, including third-party verification, for those seeking to take the well-established 2X Criteria further thereby strengthening credibility and broadening the gender finance market. Far from being a gap, this work is already in motion — with pilots, partnerships, and technical design well underway.

Source: 2X Certification

11

LuxSE and 2X Global are committed to gender finance

2X Global is transforming the global finance system

- 2X Global is the leading membership and field-building organisation focused on unlocking gender-smart capital at scale.
- 2X Global engageS the full spectrum of investors — asset owners, asset managers and other market participants — across global markets towards this mission. Through a broad and diverse set of activities, it activates and engages its global community to advance intersectional investment agendas, scale the field, shift mindsets, and facilitate capital deployment. All of this enable 2X Global to have global influence and local impact.

Strategic pillars

Build investor capacity

Knowledge, tools, and partnerships that strengthen investor capacity.

Advance and align standards

Track capital mobilised, financial performance, and gender impact.

Shape and shift markets

Unlock commitments and drive financial innovation.

LuxSE is committed to advance sustainable debt for gender equality and promote gender-lens investing

Joining forces to advance gender finance

- In May 2022, LuxSE and UN Women signed a Memorandum of Understanding (MoU) that sets an agenda of joint work to advance sustainable debt for gender equality and promote gender-lens investing.
- The overarching goal of these efforts is to mobilise capital flows to meaningfully contribute to the UN SDGs, and in particular to UN SDG 5, ***"Achieve Gender Equality and Empower all Women and Girls"***.
- Since then, LuxSE and UN Women have continued to work together to promote sustainable debt instruments which raise financing for projects advancing gender equality and women's empowerment across the world.
- LuxSE is committed to fostering awareness of gender-focused bonds in Luxembourg and beyond, especially among issuers of sustainable securities and impact-conscious investors, with the objective of becoming the reference exchange for gender-focused bonds.
- To learn more about gender equality and UN Women's role in financing for gender equality visit **UN Women Strategic Plan 2022-2025 | UN Women – Headquarters** and the UN Women Empowerment Principles **Home | WEPs**.

UN WOMEN
United Nations Entity for Gender Equality and the Empowerment of Women

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Appendix

Definitions and acronyms

Effective category: category of project that is effectively financed by the allocated proceeds as stated in the post-issuance report of a use-of-proceeds bond.

Eligible category: category of project that could be potentially financed through the money raised as stated in the pre-issuance documentation of a use-of proceeds bond.

Green bond: bond where the proceeds or an equivalent amount are exclusively used to finance or re-finance, new and/or existing eligible green projects.

Gender-focused bond:
(I) a green, social or sustainability bond with partial use-of-proceeds allocated to financing gender equality-related projects; or

(II) a social or sustainability bond with 100% of its use-of-proceeds allocated to projects that advance gender equality objectives, as stated in the pre-issuance documentation; or

(III) a sustainability-linked bond with at least one target relating to reaching gender equality or women empowerment objectives; as per their issuer documentation and carry post-issuance reporting attesting issuer's concrete actions.

Social bond: bond where the proceeds, or an equivalent amount, are exclusively used to finance or re-finance new and/or existing eligible social projects.

Sustainability bond: bond where the proceeds or an equivalent amount are exclusively used to finance or re-finance a combination of both green and social projects.

Sustainability-linked bond: bond instrument for which the financial and/or structural characteristics can vary depending on whether the issuer achieves predefined sustainability/ESG objectives.

Sustainability performance target: measurable improvements in KPIs to which issuers commit within a predefined timeline when issuing a sustainability-linked bond.

Sustainable bond: use-of proceeds bond (green, social or sustainability bond) or sustainability-linked bond.

Target population: population for which positive socio-economic outcomes are expected through a use-of-proceeds bond issuance, as identified by the issuer in pre-issuance documentation.

Use-of proceeds bond: green, social or sustainability (GSS) bond.

GSS bonds: green, social and sustainability bonds

GSSS bonds: green, social and sustainability and sustainability-linked bonds

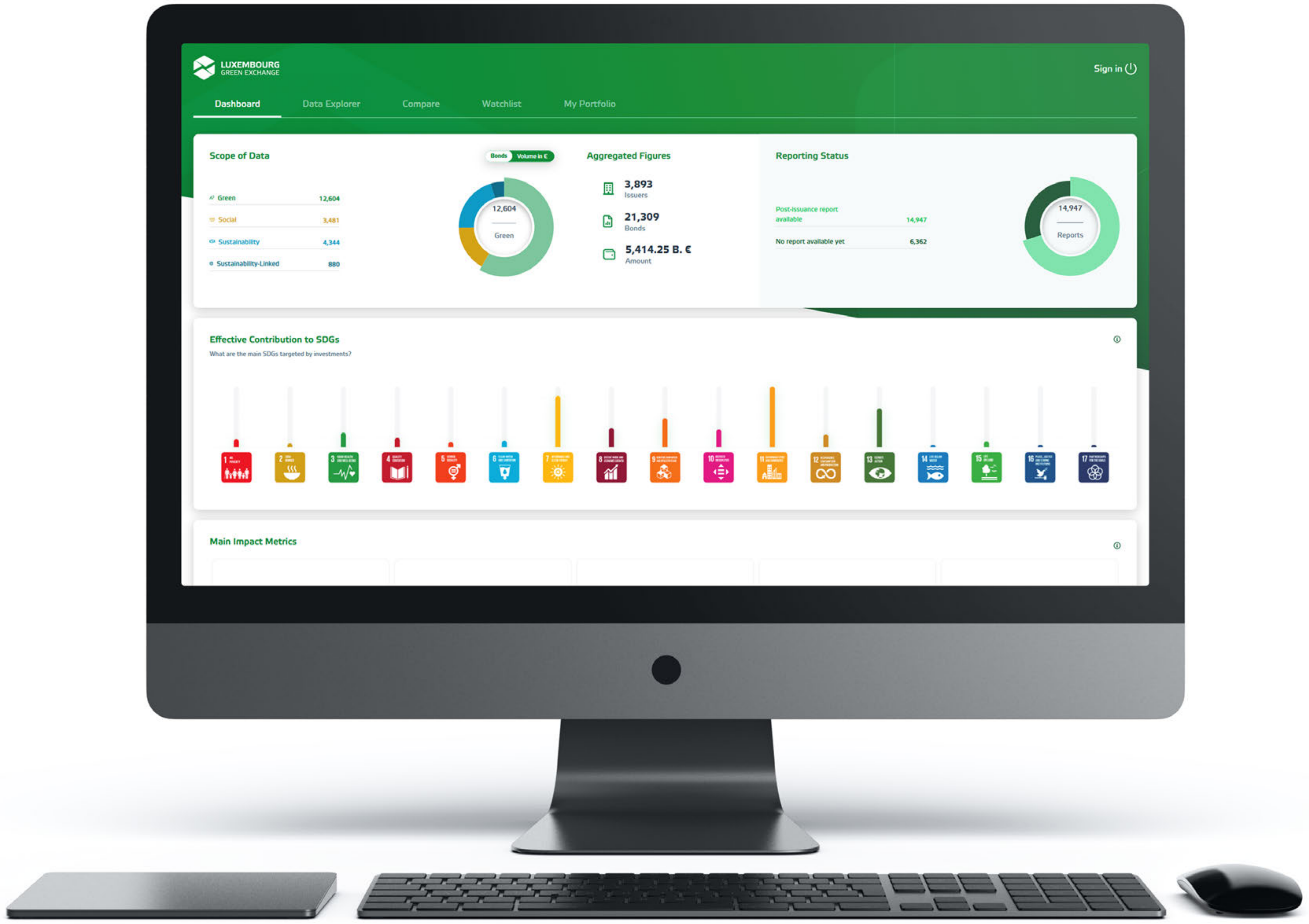
KPI: key performance indicator

SLB: sustainability-linked bond

SPT: sustainability performance target

APPENDIX

Data source



LGX DataHub

- This study analyses green, social, sustainability and sustainability-linked (GSSS) bonds included in the LGX DataHub. The LGX DataHub is LuxSE's proprietary sustainable bond data tool.
- It was launched in 2020 and collects extensive data on GSSS bonds with aggregated figures on more than 21,000 listed GSSS bonds from over 3,800 issuers. The information contained in the LGX DataHub is extracted from issuers' public disclosures.

Sign up now >

Explore the LGX DataHub >